



D365 Posting Profile-Sales Order

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Objectives

- Understand Physical vs. Financial Inventory
- Review Inventory Posting Profiles Setup
- Review Transactions That Post to the Ledger

Physical vs. Financial Inventory



Examples of Physical Inventory Postings

- Sales Order – Pack Slip (shipped but not invoiced)
- Purchase Order – Receipt (rec'd but not invoiced)
- Production – Starting a Production Order/Reported as Finished (RAF'ed)
- Inventory Transfer Journals

Examples of Financial Inventory Postings

Sales Order – Invoice

Purchase Order – Invoice

Production – Ended

Inventory – Inventory Journals

Why Do Model Groups Matter?

Path:/ Inventory Management > Setup > Inventory > Item Model Groups

- Is the product stocked or a service?
- How is the inventory valued?
- Is the product tracked physically/financially?
- Is deferred revenue posted at delivery?
- Is liability accrued on product receipt?
- How is negative inventory handled?

Click the edit button to make changes.

Filter

OKT
Optimal product fit

RFO
First In-First Out

LIFO
Last In - First Out

MWA
Moving average

MWA-NoNeg
Moving average (No physical negative)

MWMI
Moving average infinite precision

PWA
Periodic weighted average

STD
Standard cost

Item model groups

Item model group: None

ISO: First In-First Out

Costing method & cost recognition

INVENTORY ASSET ☒ Stocked product	INVENTORY MODEL Inventory model FFO	UNIT PRICE ☐ Include physical value ☐ Fixed weight price	SEALER INTEGRATION ☒ Post physical inventory ☒ Post financial inventory	RECOGNITION OF COST ☐ Post to Deferred Revenue Account on Sales Delivery ☒ Assess liability on product receipt
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Inventory policies

NEGATIVE INVENTORY ☐ Physical negative inventory ☒ Financial negative inventory	PHYSICAL ASPECT ☐ Registration requirements ☐ Receiving requirements ☐ Picking requirements ☐ Deduction requirements	DESTRUCTION ☐ LIFO date-controlled ☐ Backward from ship date First value estimation Default ☐ Same batch selection	☐ Consolidate requirements ☐ FIFO date-controlled Pick pricing Expiration date	RECEIPTION ORDER Batch dependent code
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VENDORIZATION
☐ Purchase registration

APPROVED VENDOR LIST
 Approved vendor check method
 No check

Item Model Groups – Raw Mat'l Example

Inventory needs a model group.
What's yours?

Click the edit buttons to make changes.

Item model groups

Item model group: **EXP** Expense products

Costing method & cost recognition

INVENTORY POLICY
☐ STOCKING PRODUCT

INVENTORY MODEL
 Inventory model: **FIFO**

COST PRICE
☐ Include physical value
☐ Fixed receipt price

LEADER INTEGRATION
☐ Post physical inventory
☐ Post financial inventory

RECOGNITION OF COST
☐ Post to Deferred Revenue Account on Sales Delivery
☒ Accrue liability on product receipt

Inventory policies

NEGATIVE INVENTORY
☐ Physical negative inventory
☒ Financial negative inventory

PHYSICAL UPDATE
☐ Registration requirements
☐ Decreasing requirements
☐ Picking requirements
☐ Deduction requirements

WAREHOUSE MANAGEMENT
☐ Quarantine management

SELECTION
☐ FIFO date-controlled
☐ Backward from ship date
 Item sales reservation: **Default**
☐ Same batch selection

☐ Consolidate requirement
☐ FIFO date-controlled
 Full lifetime
 Expiration date

BATCH SELECTION CODE
 Batch selection code

VENDOR BATCH
☐ Purchase registration

APPROVE VENDOR ID
 approved vendor check method
No check

Item Model Groups – Expense Example

Everyone needs a trusted advisor.
Who's yours?



Sales Order Setup

Path:/ Inventory Management > Setup > Posting > Posting

Posting

Sales order

Purchase order

Inventory

Production

Standard cost variance

Select

☒ Cost of units, delivered

☐ Cost of goods sold, delivered

☐ Cost of units, invoiced

☐ Cost of goods sold, invoiced

☐ Revenue

☐ Commission

☐ Discount

☐ Commission offset

☐ Deferred revenue on delivery

☐ Deferred revenue offset on delivery

☐ Deferred sales tax on delivery

Item code	Item relation	Category relation	Account code	Account relation	Sales tax group	Main account
Group	Audio		All			140200
Group	AudioRM		All			140100
Group	CarAudio		All			140200
Group	CarAudioRM		All			140100
Group	TV&Video		All			140200

Sales Order Setup

Path:/ Inventory Management > Setup > Posting > Posting

	AX 2012	D365FO	Suggested Accounts
1	Sales, Packing Slip	Cost of Units, Delivered	Raw, Finished Goods
2	Sales Packing Slip Offset	Cost of Goods Sold, Delivered	Shipped Not Invoiced
3	Sales, Issue	Cost of Units, Invoiced	Raw, Finished Goods
4	Sales Order, Consumption	Cost of Goods Sold, Invoiced	COGS
5	Sales Order, Revenue	Revenue	Sales
6	Deferred Revenue on Delivery	Deferred Revenue on Delivery	
7	Deferred Revenue Offset on Delivery	Deferred Revenue Offset on Delivery	

Sales Order Setup

Shipping a Sales Order – Physical Posting

	AX 2012	D365FO	Suggested Accounts
1	Sales, Packing Slip	Cost of Units, Delivered	Raw, Finished Goods
2	Sales Packing Slip Offset	Cost of Goods Sold, Delivered	Shipped Not Invoiced
3	Sales, Issue	Cost of Units, Invoiced	Raw, Finished Goods
4	Sales Order, Consumption	Cost of Goods Sold, Invoiced	COGS
5	Sales Order, Revenue	Revenue	Sales

DR – 2 – Shipped Not Invoiced
CR – 1 – Inventory (Raw or Finished Goods)



Sales Order Setup

Shipping a Sales Order – Physical Posting – Voucher

SPS-00001979 : US-619

Voucher transactions

Overview

General

✓	Journal number	Voucher	Date ↑	Ref.	Ledger account	Account name	D...	Currency	Amount in term...	Amount	Amount in repo...	Posting type
	020846	SPS-01001978	5/7/2018		500150-001-023--TV&Video	Deferred COGS		USD	60.00	60.00	60.00	Cost of goods sold, delivered
	020846	SPS-01001978	5/7/2018		140200-001-023	Finished Goods Inventory		USD	-60.00	60.00	-60.00	Cost of units, delivered

DR – 2 – Shipped Not Invoiced
CR – 1 – Inventory (Raw or Finished Goods)



Sales Order Setup

Invoicing a Sales Order – Part 1 – Reverse Physical Posting

	AX 2012	D365FO	Suggested Accounts
1	Sales, Packing Slip	Cost of Units, Delivered	Raw, Finished Goods
2	Sales Packing Slip Offset	Cost of Goods Sold, Delivered	Shipped Not Invoiced
3	Sales, Issue	Cost of Units, Invoiced	Raw, Finished Goods
4	Sales Order, Consumption	Cost of Goods Sold, Invoiced	COGS
5	Sales Order, Revenue	Revenue	Sales

DR – 1 – Inventory (Raw or Finished Goods)

CR – 2 – Shipped Not Invoiced



Sales Order Setup

Invoicing a Sales Order – Part 2 – Financial Posting

	AX 2012	D365FO	Suggested Accounts
1	Sales, Packing Slip	Cost of Units, Delivered	Raw, Finished Goods
2	Sales Packing Slip Offset	Cost of Goods Sold, Delivered	Shipped Not Invoiced
3	Sales, Issue	Cost of Units, Invoiced	Raw, Finished Goods
4	Sales Order, Consumption	Cost of Goods Sold, Invoiced	COGS
5	Sales Order, Revenue	Revenue	Sales

DR – 4 – COGS

CR – 3 – Inventory (Raw or Finished Goods)

DR – Accounts Receivable via Customer Subledger

CR – 5 – Sales



Sales Order Setup

Invoicing a Sales Order – Posting – Voucher

CIV-00000715 | US-008

Voucher transactions

Overview

General

✓	Journal number	Voucher	Date ↑	Y...	Ledger account	Account name	D...	Currency	Amount in trans...	Amount	Amount in repo...	Posting type
	020847	INV-10000715	5/7/2018		401100-001-023--TV&Video	Product Sales		USD	-125.00	125.00	-125.00	Sales order revenue
	020847	INV-10000715	5/7/2018		500100-001-023--TV&Video	COGS - Finished Goods		USD	60.00	60.00	60.00	Cost of goods sold, invoiced
	020847	INV-10000715	5/7/2018		500150-001-023--TV&Video	Deferred COGS		USD	-60.00	60.00	-60.00	Cost of goods sold, delivered
	020847	INV-10000715	5/7/2018		140200-001-023	Finished Goods Inventory		USD	-60.00	60.00	-60.00	Cost of units, invoiced
	020847	INV-10000715	5/7/2018		140200-001-023	Finished Goods Inventory		USD	60.00	60.00	60.00	Cost of units, delivered
	020847	INV-10000715	5/7/2018		130100-001-	Accounts Receivable - Domestic		USD	125.00	125.00	125.00	Customer balance

Sales Order Setup

Invoicing a Sales Order – Financial Posting (Sales Categories)

	AX 2012	D365FO	Suggested Accounts
1	Sales, Packing Slip	Cost of Units, Delivered	Raw, Finished Goods
2	Sales Packing Slip Offset	Cost of Goods Sold, Delivered	Shipped Not Invoiced
3	Sales, Issue	Cost of Units, Invoiced	Raw, Finished Goods
4	Sales Order, Consumption	Cost of Goods Sold, Invoiced	COGS
5	Sales Order, Revenue	Revenue	Sales

DR – Accounts Receivable via Customer Subledger

CR – 5 – Sales



Sales Order Setup

Invoicing a Sales Order – Financial Posting (Sales Categories)

Posting

Sales order

Purchase order

Inventory

Production

Standard cost variance

Select

- ☐ Cost of units, delivered
- ☐ Cost of goods sold, delivered
- ☐ Cost of units, invoiced
- ☐ Cost of goods sold, invoiced

☒ Revenue

✓	Item code	Item relation	Category relation	Account code	Account relation	Sales tax group	Main account
	All			Group	100		402800
	All			Group	90		402900
	All			All			401100

DR – Accounts Receivable via Customer Subledger
CR – 5 – Sales

